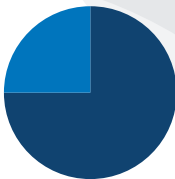
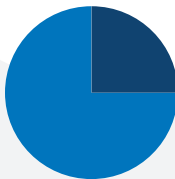


Tax-Efficient Portfolio Alignment

A tax-optimized transition is a sophisticated portfolio diversification strategy for helping investors reduce or even eliminate tax-burdened concentrated investment positions. By utilizing an in-kind transfer of existing assets and building a multi-year tax-optimized transition strategy, client holdings migrate towards a target portfolio that better aligns with the investor's financial goals, objectives, risk tolerance, and time horizons. This strategy can help investors preserve more of their investment gains and potentially increase overall after-tax returns.

How It Works

- ✓ Identify the investor's target portfolio and annual tax budget (the maximum amount of capital gains taxes the investor is willing to pay in a fiscal year).
- ✓ Investor will provide the legacy portfolio's cost basis and purchase dates to wealth manager.
- ✓ Wealth manager will work with the Planning and Trading teams to establish a multi-year transition strategy for the legacy portfolio.
- ✓ Trading team will oversee trade execution within the investor's predetermined annual tax budget and proactively engage in tax-loss harvesting each year until the transition is complete.

	Year 1	Year 2	Year 3	Year 4
Annual Tax Budget	\$20,000	\$20,000	\$20,000	\$20,000
% of Portfolio Transitioned	25% 	50% 	75% 	100% 
Tracking Error*	10%	5%	2%	0%

This chart is for illustrative purposes only and is not representative of actual model performance.



Address Line 1
Address Line 2
City, State Zip Code
Phone Number
Website



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*Tracking error measures the divergence in performance of a portfolio relative to the benchmark it strives to replicate. It gives you an easy way to measure the active risk of the portfolio relative to a target portfolio or benchmark in terms of return fluctuations. Any volatility within a portfolio from the benchmark, likely an index, that you are measuring against will contribute to more tracking error. Any tax-loss harvesting or Environmental, Social, and Governance (ESG) investing that changes the portfolio will also contribute to some amount of tracking error. The greater the active share of the portfolio, the greater the potential for tracking error. Tracking error is measured in standard deviations and describes a distribution of probable outcomes. For a tracking error of 1%, the standard deviation of the portfolio return distribution from the performance of the target portfolio or benchmark is 1%. One year from now, there is a 68% probability that the portfolio return will be within 1% of the benchmark performance, and a 95% probability that the portfolio return will be within 2 standard deviations, or 2%, of the benchmark, performance.

Investing involves risk, including the potential loss of principal. No investment strategy, such as asset allocation or diversification, can guarantee a profit or protect against loss in periods of declining values. All investment strategies involve risk and have the potential for profit or loss. Changes in investment strategies, contributions or withdrawals, and economic conditions may materially affect the performance of your portfolio. There are no assurances that a portfolio will match or outperform any particular benchmark. Investors should carefully consider the investment objectives, risks, fees and expenses before investing. For this and other important information please obtain the investment company fund prospectus and disclosure documents from your Advisor. Read this information carefully before investing.

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